28

Choosing from pillars of intervention

In many fields, it is useful to think of state activity under a few pillars of intervention. A government can *produce* education services by running schools. It can *regulate* the working of private schools. It can *finance* private persons buying the services of private schools. These are three pillars of intervention—producing, regulating, financing.

Each of the three pillars involves different kinds of management mechanisms. Positive externalities justify financing. Negative externalities, asymmetric information or market power justify regulating.

Conflicts introduced by public sector production

When a government is both umpire and player, this induces difficulties. The people in charge of production by the state have a bias in favour of capturing all the resources available for financing. They try to ensure weak regulation for themselves, and would like to place regulatory barriers upon private producers. In the Indian experience, there are many examples where the mixing of regulatory and production functions within one organization has worked poorly.

As an example, in the old structure of the Department of Telecommunications there was a fusion between monopolistic public sector production and regulatory functions. It is difficult for a state monopoly to regulate itself, which gave poor services. The telecom reforms of the late 1990s separated out regulation into the Telecom Regulatory Authority of